Practice workbook · Disposal of non-current assets: cost, disposal and profit or loss on sale

Recording the sale of a non-current asset through the disposal account (with the cost account or the provision for depreciation account where asked) and finding the gain or loss, by account or by direct calculation.

16 question parts: 1 worked-example retry and 15 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-06

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 3 4 7 3 A 0 1 9 2 0

19

Turn over

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

(c) (i) Identify, indicating with a tick (✓), the effect on gross profit if the purchase of the new vehicle was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

(ii) Explain why the purchase of the new motor vehicle was treated as capital expenditure.

(3)

(Total for Question 18 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS

OLevels.com SCHOOL

1. Question 18 · part b · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 17 · part c · 10 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(b) Identify, indicating with a tick (✓), how **each** item would be treated when a new motor van is purchased for use in the business.

(3)

	Capital expenditure	Revenue expenditure
Installed shelving in van		
Motor insurance		
Signwriting on van		

Guy prepares his financial statements to 31 January.

On 1 February 2021, the balances on the motor vans accounts were:

Cost $146 000
Provision for depreciation $68 000

On 1 August 2021, Guy sold a motor van that he had purchased for $36 000 on 1 August 2019. He received a cheque for $25 000 in full settlement.

On 1 September 2021, Guy purchased a new motor van for $49 000 paid for by bank transfer.

Motor vans are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 1 5 7 3 A 0 1 8 2 4

2. Question 17 · part c · 10 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 January 2022.

(10)

Motor Vans - Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2. Question 17 · part c · 10 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 18 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 8 7 9 0 A 0 1 6 2 0

3. Question 18 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

QUESTION 18 CONTINUES ON NEXT PAGE.

3. Question 18 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 13 · part whole · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

13 On 31 March 2019 Ehab sold machinery for $16 000.

The machinery had been purchased on 1 November 2016 for $24 000.

He depreciates machinery at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

Ehab's financial year end is 31 March.

Prepare the disposal account.

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN

OLevels.com SCHOOL

4. Question 13 · part whole · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 16 · part e · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 16 · part e · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

5. Question 16 · part e · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 18 · part b · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 5 9 9 4 0 A 0 1 8 2 0

6. Question 18 · part b · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

Nyat is considering purchasing a computerised accounting package.

(c) Evaluate the benefits of this proposal.

(5)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 18 = 15 marks)

6. Question 18 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 18 · part c · 4 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

7. Question 18 · part c · 4 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

O1 Levels .com — SCHOOL —

(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(Total for Question 18 = 15 marks)

7. Question 18 · part c · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 13 · part a · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

13 On 31 December 2019, Lewin sold a motor vehicle, cost $20 000, with a carrying value of $16 000. The proceeds of the sale, $16 400, were received by cheque.

(a) Prepare the disposal account for the year ended 31 December 2019.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(b) State **one** cause of depreciation of a non-current asset.

(1)

.....

.....

(Total for Question 13 = 5 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRIT

OLevels.COM SCHOOL

Working and answer

9. Question 18 · part d.ii · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d.ii only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

9. Question 18 · part d.ii · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d.ii only.

DO NOT WRITE IN THIS AREA

On 1 April 2018 Rafiq purchased a motor vehicle at a cost of $48 000

On 1 December 2020 Rafiq sold the motor vehicle to Bilal for $28 000. One half of the sale proceeds were received by bank transfer on that date and the balance was to be paid on 30 June 2021.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Rafiq prepares financial statements to 31 January.

(d) (i) Calculate the carrying value of the motor vehicle at 1 December 2020.

(2)

.....

.....

.....

.....

OLevels.com SCHOOL

(ii) Prepare the motor vehicle disposal account.

(6)

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

9. Question 18 · part d.ii · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 18 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 6 4 6 8 R A 0 1 6 2 0

10. Question 18 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

.....

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

.....

.....

(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

OLevels.com SCHOOL

10. Question 18 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 17 · part f · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 1 5 7 2 A 0 1 6 2 0

11. Question 17 · part f · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

RITE IN THIS AREA

OLevels.com SCHOOL

11. Question 17 · part f · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 18 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

12. Question 18 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

On 1 March 2023 Xavier sold Machine A for $17 500

(d) Calculate the profit or loss on the disposal of Machine A.

(1)

.....

.....

(e) Prepare the provision for depreciation – machinery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

Working and answer

13. Question 10 · part whole · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part whole only.

10 A business sells a non-current asset for $3 500. The non-current asset had an original cost of $12 500 and had been depreciated by $8 000

Identify the profit or loss on disposal.

- ☒ **A** $1 000 profit
- ☒ **B** $1 000 loss
- ☒ **C** $4 500 profit
- ☒ **D** $4 500 loss

(Total for Question 10 = 1 mark)

TE IN THIS AREA

Working and answer

OLevels.com SCHOOL

14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

OLevels.com SCHOOL

(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

On 1 July 2022 Dominic purchased new machinery at a cost of $36 500

On 1 August 2024 he sold the machinery to Gerhardt for $24 600

Gerhardt paid one third of the sale price by bank transfer on that date with the remainder being transferred to a loan account.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) (i) Calculate the carrying value of the machinery at 1 August 2024.

(1)

.....

.....

(ii) Prepare the disposal account for the year ended 30 June 2025.

(7)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

14. Question 17 · part c.ii · 7 marks · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 17 · part a · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

17 Carson depreciates his computer equipment using the straight line method at 20% per annum. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

On 1 September 2021 the balances were:

Computer equipment – cost	$16 800
Computer equipment – provision for depreciation	$ 9 200

On 1 May 2022, computer equipment originally purchased on 1 March 2020 for $3 600, was sold for $1 950

(a) Prepare the following accounts for the year ended 31 August 2022.

(9)

Computer Equipment – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 5 8 8 6 A 0 1 8 2 4

15. Question 17 · part a · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

(b) Define the following terms, giving an example of each.

(4)

Term	Definition	Example
Capital expenditure		
Revenue expenditure		

(c) State **two** ways Carson could maintain the security of his computerised data.

(2)

1 .....

2 .....

(Total for Question 17 = 15 marks)

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

15. Question 17 · part a · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

QUESTION 18 CONTINUES ON NEXT PAGE.

16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

Shauna has been advised that she should consider charging depreciation on the straight line method rather than the reducing balance method.

(d) Advise Shauna whether or not she should change her method of charging depreciation. Justify your advice by discussing **both** methods.

(5)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS

(Total for Question 18 = 15 marks)

16. Question 18 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL